

Pricing towards perfection



Karan Manral
Assistant Editor

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Every new computer owner is confronted with a familiar problem. Where do I get the software that puts the hardware to work? The choice usually lies between purchasing the licensed version of, say, Adobe's Publishing collection for a whopping amount from an official vendor, or just asking your friendly neighbourhood computer-walla to give you a copy for Rs 200. The price we Indians pay for software has always been a touchy topic. Computer users could actually end up paying more for the software than for the entire PC itself if they were to buy licensed copies of each piece of software. Requesting someone else to make a copy is clearly the easier and more frequently exercised option.

Unlike hardware, games and even music CDs, which have become considerably cheaper over the years, software seems only to have grown more expensive. The latest version of Microsoft Office, for instance, costs a lot more than its predecessor. But most software vendors claim that the pricing for their software is fair and complain about the enormous loss of revenue they suffer due to piracy. While software companies look for ways to protect their software from being copied, they need to be aware that as long as prices are beyond the reach of the average computer user, piracy will continue to exist.

Major software vendors such as Microsoft and Adobe need to find a way to make software more affordable. One approach that might work in the Indian market—both for them and for computer users—is to make an older or basic version of the software available at a lower price for individuals. Most of us don't utilise a large number of the features that software such as Microsoft Office XP offers and can easily make do with the features available in Microsoft Office 2000. If this were made available at a lower price, more consumers would consider paying for licensed software.

However, most software vendors are sceptical about adopting this kind of a strategy because it is at odds with the industry's philosophy of charging a premium for every version update.

But without a change in approach, most professional application software will remain exorbitantly priced. Continuing to adopt this kind of short-sighted strategy will restrict the use of licensed software to a few commercial organisations and the majority of users will continue to look towards pirated copies as a solution.

Karan Manral

karan_manral@jasubhai.com